

A ROSTER OF CHALLENGES

Market experts in India are concerned about a range of upcoming headwinds

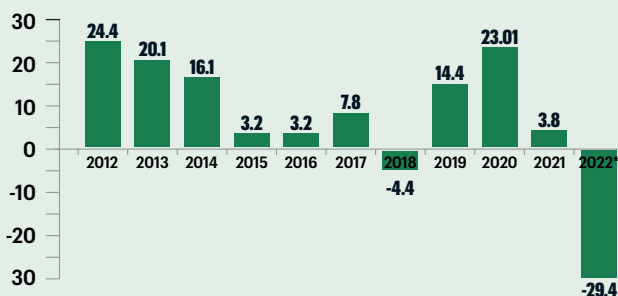


- ➔ Inflation
- ➔ Aggressive rate hikes
- ➔ Monetary tightening
- ➔ Recession in the US and Europe
- ➔ Rising interest rate hurting demand
- ➔ Geopolitical issues
- ➔ Crude oil prices
- ➔ Earnings cuts
- ➔ Commodity prices
- ➔ Supply chain disruptions
- ➔ Tightening dollar availability
- ➔ Chip shortage

SOURCE INDUSTRY

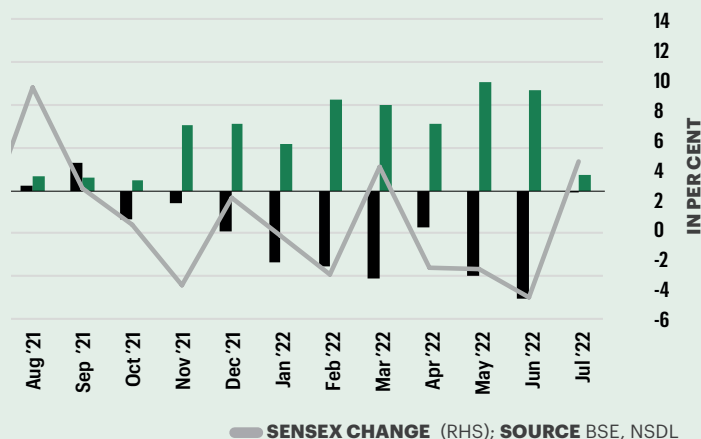
QUEERED PITCH

FPIs have pulled out from Indian stock markets in 2022 due to various extraneous reasons



*TILL JULY 20, 2022; ANNUAL FPI FLOWS SINCE 2012
FIGURES IN \$ BILLION; SOURCE NSDL

en by FPIs, with foreign investors pulling out of the Indian
cking up the slack



— SENSEX CHANGE (RHS); SOURCE BSE, NSDL

mutual funds—to understand their outlook on the markets. The consensus among them seems to be that the markets will be higher than the current levels by the end of 2022, but it comes with a word of caution, and the complete absence of a bullish undertone.

While there are the usual concerns around foreign outflows and earnings downgrades, the single-biggest headwind currently perceived is regarding inflation, and its effects on economic growth. According to experts, some other concerns are commodity prices, geopolitical issues, recessionary pressures in the US and Europe, and the intermittent negative news flow related to Covid-19, coming especially from China.

The current end-2022 Sensex or Nifty target of most experts is lower than what they had forecasted at the start of the year. Nomura, for instance, now has a Nifty target of 16,900, down from its earlier target of 18,150. Similarly, BofA Securities has lowered its Nifty target from 19,100 to 14,500. The markets may fall further than what experts are forecasting in the backdrop of such material macro uncertainty, is how Saion Mukherjee, MD & Head of Equity Research, India, at Nomura Capital, describes the current situation. “As base case, we are not expecting any material disruption in India. Bank balance sheets and corporate balance sheets are in good shape. This gives support to the market, and makes the case against a very steep fall. The risk is if India’s medium-term growth expectations come down materially,” he adds.

Along similar lines, Amish Shah, Head of India Research at BofA Securities, says he continues to remain cautious on the markets in the near-term as “most risks are skewed to the downside”. He lists global macro concerns including the rising risk of a recession in the US; the potential for crude oil to sustain at higher levels with the risk of a spike to \$150 a barrel, if European sanctions limit Russian production; and the likely earnings miss by corporates in FY23, given the lofty estimates of over 20 per cent by D-Street, as prominent risk factors.

AN EYE ON INFLATION

Every expert *BT* spoke to has identified inflation in the domestic and global arena as a major concern when asked to list the top headwinds facing the Indian stock markets. “The biggest concerns for the markets are currently emerging from the very high inflation in the US economy that is forcing the US [Fed] to significantly hike rates,” says Samir Arora, Founder of Singapore-based fund Helios Capital. “This creates its own problems as the US currency appreciates against other currencies like the euro, yen, sterling, and indeed the Indian rupee. Weakness in currency and other associated risks are making